

Freddie Mac's 2026 Underwriting: Coverage Is Manufactured, Not Earned

10 structures prop up DSCRs as Freddie Mac's 2026 K-series reveals a market buying time, not cash flow.

The most important number in Freddie Mac's 2026 K-series underwriting is not the 1.41 times debt service coverage. It is the 95 percent of pooled balance carrying full-term or partial interest-only structures. That ratio tells you everything about the state of multifamily finance in mid-2026: Coverage is being manufactured through structure, not generated by cash flow.

CRED iQ analyzed eight Freddie Mac securitizations priced early this year, covering 472 loans and more than \$7.2 billion in unpaid principal. The weighted-average DSCR of 1.41 times against a 63.9 percent loan-to-value looks historically adequate. But those figures lean heavily on interest-only periods. Full-term IO carried about 30 percent of total K-series balance, and partial IO another 65 percent.

Strip the IO benefit away, and several loans underwrite near or below 1.2 times on a fully amortizing basis. That is not conservatism. That is a market buying time. The tension is straightforward: Borrowers cannot generate enough net operating income growth to cover amortizing debt service at current rates, so the agency is extending IO relief to keep deals executable. This is not a credit deterioration signal in the traditional sense.

It is a structural adaptation to a rate environment that has not cooperated with the underwriting assumptions embedded in loans originated three or four years ago. Leverage, notably, has not blown out. Weighted LTVs clustered in the low to mid-60s across the fixed-rate book, consistent with Freddie's historical discipline. What moved was coupon. Gross rates ranged from roughly 4.9 percent on the cleanest refinances to 5.66 percent on the floating-rate KF172 pool.

Acquisition activity made up about 40 percent of K-series balance, a sign that transaction volume is returning even as borrowers absorb higher carry. The market is not rewarding optimism. It is rewarding structure. The floating-rate pool is where the stress concentrates. KF172 underwrote to a 1.21 times weighted DSCR and a 68.7 percent LTV, the thinnest and most levered of the group, with every loan carrying SOFR-based pricing and mandatory rate caps.

Coverage that looks adequate on an IO basis compresses fast if SOFR stays sticky into refinancing windows. This is the segment to watch for the next wave of distress, not because the loans are bad today, but because they have no cushion if the rate environment does not ease. Origination concentration tells its own story.

CBRE Capital Markets leads with roughly \$1.42 billion across the eight deals, about 20 percent of pooled balance, followed by Berkadia at \$1.05 billion and Walker & Dunlop at \$680 million. Those three alone account for more than 43 percent of issuance. But balance leadership and credit conservatism are not the same thing.

PNC Bank's book carries the strongest weighted coverage among large originators at 1.61 times, while Lument's sits at 1.29 times, reflecting a more leveraged, IO-heavy mix. The originators pushing the most paper are not always the ones pushing the thinnest coverage, but the spread between shops reveals that underwriting discipline is uneven across the platform. Who benefits from this market?

Borrowers with stabilized assets and credible sponsors who can access agency debt at all. They get time, and time is the most valuable commodity in a cycle where income growth has not caught up with rate expectations. Who is exposed? Borrowers with floating-rate exposure, thin coverage, and no IO runway. They are one sticky SOFR print away from a conversation they do not want to have.

The next thing to watch is the amortization schedule. As partial IO periods expire over the next 12 to 24 months, the true coverage picture will emerge. If NOI growth does not accelerate, those 1.35 times DSCRs will drift toward 1.2 times, and the agency will face a choice: extend more IO relief or let the market clear. Agency debt is not solving the multifamily cycle.

It is deciding who gets enough time to survive it.

About Us

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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